CBOE GLOBAL MARKETS INC CBOE

June 30, 2026 - 9:07pm EST
by NPComplete

			2026	2027
Price:	232.00	EPS	13.75	15.25
Shares Out. (in M):	105	P/E	17	15
Market Cap (in $M):	24,300	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

Cboe Global Markets (CBOE) — Long

Price: ~$232 | Shares out: ~104.6M | Market cap: ~$24.3B | Net cash | Forward P/E: ~16-17x | Dividend yield: ~1.2%

Summary

GLSV wrote it up on this site in October 2020 when the stock was reading around $90, and supersny before that. Six years later the business is better — net revenue has roughly doubled, margins are in the low 70s, and the proprietary index franchise is at record volume. The stock printed an all-time high near $366 in mid-May on the back of a blowout first quarter, then fell about 37% to the low $230s over the following six weeks. Almost none of that decline was about the numbers. It was about a single new narrative: that crypto perpetual futures and prediction markets are about to breach the exchange's moat. Note that this is a different fear from what the market was worried about a couple of years ago (unsustainability of 0DTE).

I think that's wrong, or at least wildly overpriced into the stock. You are being handed a wide-moat, near-monopoly derivatives franchise at ~16-17x forward earnings — a discount to its own history and to peers — at the exact moment management is stripping out cost and the business is compounding in the high teens. The terminal-value fear is real enough to discuss seriously (I do below), but the market has gone from pricing CBOE as a structural compounder to pricing it as a melting ice cube, and the truth is much closer to the former. **Also, it is worth nothing that AI will be a huge margin tailwinds for companies with wide moats and distribution - they will be able to lower their R&D costs and/or increase product innovation. CBOE fits that theme.**

My Base case is ~$315 over the next 12-18 months (roughly +36%), against downside of $200 (~-14%) if the bear narrative proves out. In a world where AI stocks are doubling every 2 months, 36% return is pretty meh - but it works for me. And CBOE is not correlated with the AI trade.

What does CBOE do?

Cboe is the holding company for the old Chicago Board Options Exchange, the largest U.S. options venue and the home of two products that effectively cannot be replicated: index options on the S&P 500 (SPX) and the VIX volatility complex. CBOE invented the VIX — the "fear index," a measure of expected 30-day volatility — and launched the corresponding futures and options in the mid-2000s. Because the methodology is proprietary, those products trade only on Cboe. On the index side, Cboe holds the exclusive U.S. license to list options on the S&P 500, S&P 100, and the Select Sector indices, which runs exclusively through the end of 2032 (and non-exclusively in 2033), plus exclusive arrangements with MSCI and FTSE Russell. SPX and VIX together are the global standard instruments for hedging and expressing views on equity volatility, and Cboe owns the rails.

The 2017 acquisition of BATS turned what had been a pure options-and-futures shop into a multi-asset operator spanning U.S. and European cash equities, a futures exchange, institutional FX, and a large market-data business now branded **Data Vantage.** On a net revenue basis, Data Vantage is roughly a quarter of the business — about 24-25%. In Q1 2026 it was $177.8 million of net revenue, growing 19% organically, against $728.9M total net revenue, so about ~24%.

Revenue mix breaks down as proprietary derivatives (the crown jewel — SPX, VIX, and the broader index complex), multi-listed options, North American cash equities, the European and Asia-Pacific businesses, Global FX, and Data Vantage. Clearing infrastructure is largely fixed, so revenue from incremental volume falls to the bottom line at very high contribution margins. You can see that in the incremental margins over the last 5 years. Consolidated operating margin ran 72.4% in the first quarter, up from 66% a year earlier. There is virtually no capital intensity. Liquidity begets liquidity — market makers quote tight — which is the network effect that has kept Cboe at roughly 98% of all U.S. index-option volume and ~30% of total U.S. options.

The first quarter, and why the stock went up then down

The Q1 2026 print (reported May 1) was one of the best in the company's history. Net revenue grew 29% to a record $729M; adjusted diluted EPS rose 48% to $3.70 against a ~$3.37 consensus; the options segment did $467.6M in net revenue, up 33%. Total options revenue per contract climbed 19% even as total options ADV grew 10%. Most of that RPC gain was mix — the high-fee index complex growing faster than low-fee multi-listed flow — rather than outright price increases (I break this down in the pricing section below); but lifting blended capture while growing volume is still the signature of a franchise with real pricing leverage. Data Vantage grew 19% organically, and management noted the large majority of that came from new units and new sales rather than price increases, which speaks to the health of the underlying subscriber base rather than a one-time pricing grab and supports my argument that overall growth will sustain at double digits for at least a few more years.

Management raised full-year organic net-revenue growth guidance from mid-single-digit to low-double-digit/mid-teens. They cut adjusted operating expense guidance from $864-879M to $838-853M. And they announced a strategic realignment: a ~20% workforce reduction and the sale of Cboe Canada and Cboe Australia to TMX Group for $300M. The Canadian and Australian assets carried roughly a 29% EBITDA margin against a corporate margin in the mid-70s, so divesting them mechanically lifts the consolidated margin floor and frees capital for buybacks. Beating revenue while lowering the cost guide is how a management team tells you operating leverage is coming.

The stock ran to ~$366 by mid-May. Then it fell apart — and not on anything in the financials.

In late May the CFTC approved Kalshi's application to offer Bitcoin perpetual futures and put out a policy statement on listing perpetual contracts generally. Coinbase followed. On June 2 the exchange complex sold off hard, with CBOE down nearly 8% on the day and singled out by both TD Cowen and RBC as the operator most exposed. A few weeks later Schwab said it would launch its own prediction-market product (having worked with Cboe on event contracts), and 24/7 perp approval headlines hit the tape again. TD Cowen cut its target from $365 to $263 on "terminal value" concerns; Erste downgraded to Hold; CME went so far as to sue the CFTC over the perp approvals. The shares round-tripped to roughly where they started the year.

So the live debate on CBOE today is not "is 0DTE a fad." It is "do perpetual futures and prediction markets structurally impair the SPX/VIX moat." That is the question the memo has to answer.

Do perpetual futures and prediction markets break the moat?

This “bear” case is worth examining, and, frankly, I would love to have a debate on it with all of your smart folks — I could be wrong. Perpetual futures are a crypto-native instrument — a futures contract with no expiry — that has lived offshore for years and is now getting a regulated U.S. on-ramp through Kalshi and Coinbase. Combine that with prediction-market venues offering binary, event-style payoffs to a retail audience, and Schwab building its own product, and the worry is that the high-velocity retail flow now hedging and speculating in SPX and 0DTE options migrates to cheaper, simpler, 24/7 venues. If you believe Cboe's recent earnings are juiced by exactly that retail flow, a structural leak is a big hit to the terminal-value. Hence the multiple compression.

Here's why I think the market has overshot.

First, perpetual futures and SPX index options are not close substitutes for the customers who actually matter to Cboe. The bulk of SPX and VIX activity is institutional (over 60%) — systematic vol sellers, dispersion and gamma traders, asset managers hedging tail risk, dealers managing books. That flow needs central clearing, defined and exclusive index exposure, deep multi-strike/multi-expiry order books, and OCC counterparty guarantees. A perpetual future on Bitcoin, or even on an equity index, does not give a portfolio-hedging desk the strike-level convexity it buys SPX options for. That said, there is a risk that some portion of the remaining 40% - retail volume - could be siphoned off by emerging platforms. However, the deep liquidity and tight spreads offered by CBoe will be hard to compete with for the foreseeable future.

Second, the SPX/VIX ecosystem is a decades-deep network that can't be taken over by a new venue because regulators allowed a contract type. Management's pushback on the call was specific: SPX clears through OCC with dozens of retail brokers, floor broker groups, and market-making firms wired into it. Liquidity that took twenty years to assemble is the moat — not the contract specification.

The company launched Cboe Predicts and has securities-based XSP event contracts in the pipeline, with company-KPI contracts to follow. These run on existing, fully depreciated, OCC-cleared infrastructure. If regulated prediction/event markets become a real asset class, the most likely outcome is that volume gets pulled into a regulated, cleared environment that Cboe is positioned to operate. The market is assigning that optionality a value of roughly zero.

I don't want to wave the risk away. If the CFTC's posture genuinely opens the door to a broad class of retail-friendly perpetual products that siphon multi-listed and 0DTE flow, and if vol compresses at the same time, the operating leverage that looks so attractive on the way up works against you on the way down. That combination is exactly my downside case below (or worse?). But the stock has moved as if that outcome is the base case, and it isn't.

The new growth vectors — and what they're worth

It's worth putting numbers on the optionality, because the market is pricing the prediction-market trend as a pure negative for CBOE when the company is also a participant in it. Prediction markets are real and growing fast — combined Kalshi/Polymarket monthly volume went from under $5B in September 2025 to roughly $24B by April 2026, and Kalshi alone is doing ~$2B of annualized revenue and is being valued near $40B at an exchange-like ~20x. But the overwhelming majority of that — north of 80% on Kalshi — is sports, which is facing regulatory-risk (state lawsuits, jurisdictional fights). Financial and economic event contracts are a low-single-digit slice of today's volume. CBOE's product — securities-based XSP event contracts and company-KPI contracts cleared through OCC — targets that financial sliver, not the broader betting pool.

CBOE does ~$2.9B of 2026E net revenue on ~104.6M shares at a ~21x target. Each $100M of incremental net revenue, at the ~75%+ incremental margins exchange volume earned on existing infrastructure, is worth roughly $0.50 of EPS and ~$10-11 per share.

New vector	Illustrative incremental net rev (2-3 yr)	≈ EPS	≈ Value/share	Underwriteable?
Event contracts (Cboe Predicts / XSP / KPI)	~$50-100M	~$0.25-0.50	~$5-11	Speculative
Extended / overnight trading hours	~$150-250M	~$0.75-01.25	~$15-$25	Likely

TExtended and overnight hours are incremental volume on existing products at near-100% incremental margin, with SPX global-trading-hours volume already setting records and SEC approval in hand to run pre/post-market single-stock options starting in July. No new asset class, no regulatory cliff, and almost nobody is modeling it. It's roughly $15-25/share the market is currently pricing at zero (or, on the prediction-market side, at less than zero).

Is the 0DTE volume structural or cyclical?

Worth addressing because it underpins the index franchise either way. The bear argument — that zero-days-to-expiry options are a pandemic-era retail casino destined to fade — has been the consensus discount on this name for two years. The evidence increasingly says otherwise. 0DTE has become the dominant share of SPX trading, and a large and stable slice of that volume is institutional: systematic intraday hedging, delta and gamma management, and yield-generation programs run by quant funds and dealers, not just retail day-trading. That matters because institutional usage is sticky and recurring in a way retail speculation is not. The monitoring metric here is the institutional share of 0DTE SPX flow and whether RPC holds; if institutional participation rolls over and RPC slips for a couple of quarters, the bear is right and I'm wrong.

On the multi-listed share "loss"

Cboe's total options market share slipped to 29.1% in Q1 from 31.1% a year earlier. MIAX and MEMX are taking share. But blended options RPC rose 19% over the same period — and, as the next section lays out, that's due to the high-fee index complex growing faster. The share "loss" is still worth keeping an eye on.

Pricing power: how much runway is left?

Since the 19% RPC figure does a lot of work in the bull case, it's worth being precise about what it is. Management is explicit that the Q1 gain came primarily from a ~21% rise in multi-listed RPC (off a tiny base) plus a mix shift toward higher-fee index options; Q4 2025 told the same story (RPC +13%, driven by mix and a 17% multi-listed RPC increase).

- Index options (SPX, VIX, XSP) — roughly $0.60-0.70 per contract, SPX at the high end. This is the proprietary, exclusively-licensed business with negligible competition, so CBOE sets the fee.
- Multi-listed options (single-stock, SPY, QQQ) — pennies, ~$0.05-0.10 net after rebates, set by a competitive, fragmented market.
- Blended, that lands around $0.34, plus the recurring Data Vantage data-and-access fees layered on top.

1. Mix shift — the biggest and most structural. Every incremental 0DTE/index contract is high-RPC, and index volume keeps outgrowing multi-listed (index ADV +29% vs. multi-listed +4% in Q1).
2. Data and access fees — real, recurring pricing power. CBOE raised data/access pricing effective January 1, 2026, and Data Vantage still grew ~19% with the bulk from new units rather than price, which tells you they're under-monetizing relative to what they could push.
3. Index per-contract fees — modest. Low-to-mid single-digit increases periodically, constrained by institutional volume tiers and the optics of raising 0DTE fees while the product is under regulatory scrutiny.

The bottomline is that I am comfortable underwriting low double digits revenue growth.

What happens when the S&P license expires?

SPY is the SPDR ETF; options on it are multiply-listed, trade on every options exchange, and are part of the low-margin business CBOE is deliberately shedding. The exclusive license is on the S&P 500 index — the cash-settled SPX and XSP contracts — granted by S&P Dow Jones Indices. The current terms: exclusive through 2032, non-exclusive through 2033. CBOE has renewed this repeatedly over four decades (the agreement ran to 2031 before a 2013 amendment extended it to 2032/2033).

What happens at expiry, in order of likelihood:

1. Most likely, it gets renewed and nothing happens. S&P Dow Jones earns a royalty on every SPX contract traded; the franchise is worth far more to them with a venue that already has the liquidity than fragmented across competitors. Both sides have renewed for 40 years. The base case is another extension well before 2032, and it's a non-event.
2. If there's a real cost, it's a higher royalty — not lost volume. S&P has leverage at renewal given how valuable the franchise is, so the more plausible adverse outcome is CBOE paying a higher licensing rate. But that will be passed on to customers.
3. Even in a genuine loss of exclusivity, the moat isn't the license — it's the liquidity. This is the key point. If SPX index options went non-exclusive and a competitor were legally allowed to list an identical contract, the franchise still wouldn't move, because legal exclusivity was never what held it. The moat is the network effect — the open interest, the tight spreads, the OCC clearing, the institutional plumbing built over decades, and the fact that SPX options are the inputs to the VIX calculation.

One structural backstop worth noting: VIX is CBOE's outright property — proprietary methodology, not licensed from anyone — so the entire volatility complex (VIX futures and options) is unaffected by the S&P license regardless of what happens in 2032.

Comps

Among the large exchange operators, Cboe has the highest top-line and EPS growth and trades at the lowest growth-adjusted multiple. Approximate figures

(Q1 2026 / current):

	CBOE	CME	ICE	NDAQ
Q1'26 net revenue growth	+29%	+14%	+20%	+14%
Q1'26 adj EPS growth	+48%	+20%	+37%	+22%
Adj operating margin	~72%	~74%	~65%	~57%
Forward P/E	~16-17x	~20x	~18x	~24x
Forward PEG	~1.1	~2.6	~1.2	~1.6

Cboe matches CME on margin and beats the group on growth, yet trades several multiple turns cheaper on a forward basis and at roughly half CME's PEG. Historically Cboe traded at a premium to the group — partly an embedded takeout option, partly the higher mix of exclusively licensed, proprietary revenue. The de-rating to a discount has happened even as proprietary product mix and margins improved. Two things are worth holding in mind on the comp set: CME has sued the CFTC over the perp approvals (so the whole group is carrying the same terminal-value overhang, and CME is arguably defending the same moat more aggressively), and analyst sentiment has turned mixed across the board — the Street average target on CBOE sits around $320, but with a Hold consensus and a wide range from TD Cowen's $263 to the high $300s. I read the spread as the market not yet having decided whether the perp/prediction fear is a re-rating event or a buying opportunity. I think it's the latter.

Valuation

At ~$232 against roughly $13.75 of 2026E adjusted EPS, you're paying about 16-17x forward for a business compounding earnings in the high teens with a structural cost tailwind still to hit the P&L. The reverse-engineered expectations are undemanding: to justify the current enterprise value you need only mid-single-digit free-cash-flow growth over the next decade out of a franchise that just grew the top line 29% and is removing $100-120M of annualized expense. That's a low bar.

My modeling assumptions (net revenue basis; EPS excludes intangible amortization): sub 10% revenue growth which I think is reasonable. The extra return will come from multiple expansion as the fears ease and as the company delivers strong results.

	2025A	2026E	2027E	2028E
Net revenue ($M)	~2,550	~2,900	~3,180	~3,440
Adj. operating expense ($M)	~810	~845	~880	~920
Adj. EPS*	~10.20	~13.75	~15.25	~16.75
Target multiple (fwd P/E)	—	21x	21x	21x
Fair value est.	—	~289	~320	~352
Upside from ~$232	—	+25%	+38%	+52%

*Estimates; treat the out-years as directional.

The 21x target is not heroic — it's roughly where the group trades on a trailing basis today and below where Cboe traded for much of its history.

Probability-weighted, I get to ~$315:

Scenario	**Prob**	**EPS (~2027E)**	**Multiple**	**Fair Value**	**vs ~$232**	**Logic**
Bull	25%	~$16.50	~23.5x	~$385	+66%	Perp/prediction fears fade, 0DTE keeps compounding, event-market optionality gets credit, margins >75% — both EPS higher and multiple re-rates to Fast-Grower territory
Base	60%	~$15.00	21x	~$315	+36%	0DTE plateaus at high level, cost cuts land, low-double-digit EPS growth, multiple re-rates partway back
Bear	15%	~$13.00	~15.5x	~$200	-14%	Perp/prediction migration + vol compression + execution stumble; terminal-value discount sticks and EPS goes flat-to-down

That's roughly +66% / -14% around a base of +36% — a ~2.5:1 asymmetry on the tails, skewed up.

Risks

Regulatory is the big one, in both directions. The same CFTC/SEC posture that's spooking the stock on perpetual futures could also restrict retail access to 0DTE or binary options on systemic-risk or gamification grounds, which would hit volumes directly. Vol compression is the classic exchange risk — a sustained low-volatility regime dampens SPX hedging and VIX demand, and the operating leverage that's so attractive cuts both ways. For what it's worth, I think vol is more likely to rise than fall as the AI trade broadens and more incumbents get disrupted, but that's a view, not a fact, and the position shouldn't depend on it. Execution risk on the realignment is non-trivial: cutting a fifth of the workforce while migrating matching engines to AWS is a lot to run at once. And the competitive threat from perpetual futures and prediction markets, while I think it's overpriced, is genuinely new and worth monitoring rather than dismissing.

The S&P license is a longer-dated risk I treat separately above — a moat with a clock to 2032, very likely renewed, with the real exposure being royalty/pricing rather than a volume cliff.

Things I'd watch as the thesis-breakers: total options RPC slipping below ~$0.30 for two straight quarters; institutional share of 0DTE SPX flow rolling over; Data Vantage organic growth decelerating below ~8%.

Disclosure

This writeup reflects the author's opinion, is not investment advice, and may contain errors. Do your own work. The author may transact in these securities at any time.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalysts

- Q2 earnings (late July): the first read on whether the restructuring charges are landing and the margin inflection is showing up.
- Cboe Predicts / XSP event-contract rollout (2H 2026): traction on retail brokerages would force the Street to put a non-zero value on the event-markets optionality and reframe the perp narrative.
- Close of the TMX divestiture (late 2026): $300M of cash that management has signaled it will largely funnel into buybacks, on top of the existing repurchase authorization.
- Cost savings hitting the P&L (2H 2026 into 2027): the $100-120M of annualized expense reduction flowing through is the mechanical driver of the EPS beat-and-re-rate.

Messages

Subject	Comment and question
Entry	07/01/2026 12:43 PM
Member	JSJS2020

Hi NPComplete, enjoyed reading your post.   A comment and a question:

Comment: I believe CME has a small portion of revenue from retail, perhaps less vulnerable to losing retail traders to prediction market/perpetual contracts. Perhaps the slightly higher multiple is justified?

Question: What does MIAX offer that CBOE doesn't, and vice versa?   For the products that overlap between CBOE and MIAX, what does CBOE do better than MIAX, and what does MIAX do better than CBOE?

Thanks

Subject	Sizing Retail 0DTE
Entry	07/02/2026 11:53 AM
Member	riskintolerance

Hi NPComplete -- nice writeup. I enjoyed reading. I would love to compare notes with you on sizing the retail SPX 0DTE exposure at CBOE. My estimates were as follows:

1. Options are ~80% of CBOE EBIT (10-K)
2. Index options ~84% of Options segment revenue (and maybe even up to 100%+ of profit given aggressive pricing/rebates on multi-listed side?) (Q1 earnings presentation using transaction/clearing revenue as total)
3. 0DTE is now ~50% of all index options (May 18th press release on Dow Jones daily expiries)
4. Retail is ~50% of 0DTE (I know you mentioned >60% institutional in your writeup but i can't find a source supporting that. I see 50/50 as of Dec 2025 conference transcript)

Based on those numbers, Retail 0DTE would be ~40% of profit. Just want to make sure you agree or if you'd propose any corrections? Thanks!

Subject	What prompt or LLM did you use?
Entry	07/02/2026 12:20 PM
Member	Shoe

What prompt or LLM did you use to make this? It's pretty decent for AI.

My problem with CBOE and exchanges right now is they're all de-rating for no good reason and these nebulous concerns will fester and continue to weigh on them. Yes everyone mostly agrees that this concern about perpetuals isn't a big issue. But there will only be more headlines around it, new product introductions, and the administration wants to push it too.... so the newsflow isn't in your favor

It's the same problem with retail brokerage / wealth managers, insurance brokers, CRE brokers, payments, software etc.   The concern (whether it's AI displacement, agentic cash sorting, stablecoin crypo competition, etc). , however unfounded, can't be disproven. And then that overhang festers and people make up other concerns.

And then people keep selling the stocks because there's no desire in this market to deal with those issues.   I think broad swathes of the market are quite cheap and pricing in too much AI / crypto disruption risk.   But the heroes and knife catchers aren't winning.   What changes the narrative ?

I think ICE or Nasdaq are more interesting as they've also been punished hard, but hard far more non-transaction revs, and less retail exposure than CBOE/CME.

A pair trade of long ICE and Nasdaq, while short CME and CBOE seems like it'll still work in the short term.

Subject	Re: What prompt or LLM did you use?
Entry	07/02/2026 12:43 PM
Member	NPComplete

edited using Claude cowork. Give it a try. It's a huge time saver.

Investing comes down to focusing on one or two things where you have have a differentiated view.

CBOE is a trade. And it will work out. Vol is likely to go up, specially considering the crazy skew (AI trade) in the return profile this year. And that is good for CBOE. I don't think there is any material risk to the numbers and it's an AI beneficiary. The fear that has driven the stock down will dissipate and the path of least resistance is up from the 230s level.

I.own CME and ICE as well. ICE won't work until inreeste rates come down. But it's is a better longer term investment.

Subject Re: What prompt or LLM did you use?
Entry 07/02/2026 12:46 PM
Member NPComplete

Will you reason to own it change if it's 50% vs 60%? Mine won't. Most of these numbers are rough estimates - I used approximations.

When 0dte exploded (and in general options volumes exploded globally after covid), I was expecting a normalization. Covid was 6 years ago, but we still have very high volumes. The world changed and I have accepted that as a fact. At least that is my view.

Subject Re: Comment and question
Entry 07/02/2026 12:56 PM
Member NPComplete

MEMX is probably a bigger threat longer term. It's owned by heavy hitters.

Miax is publicly listed. You can read up more on it. My understand is that it has to do with differentiated fee structurea for different kinds of participants.

Subject Re: Re: What prompt or LLM did you use?
Entry 07/02/2026 01:00 PM
Member NPComplete

Didn't mean to be terse. I am on a flight.

There are very few stocks that fit the Warren Buffet test (buy and hold forever). I take a 12-24 month view with most stocks and I don't see much changing over that time horizon.

Subject Re: Re: What prompt or LLM did you use?
Entry 07/02/2026 01:46 PM
Member riskintolerance

Won't change my reason to own it. I am trying to get to the right number. Do you agree with my approximation or would you change it?

Subject Perpetual Futures
Entry 07/02/2026 09:56 PM
Member bowd57

Hi, NPComplete --

> First, perpetual futures and SPX index options are not close substitutes

I'm shameless and lazy. I spent 5 minutes looking at perpetual futures and am not sure I get the point. Usually retail punters -- the target audience here? -- are looking for bankruptcy remote leverage. Is the idea that they're outsourcing risk management to the exchange? Like, "Account can't go below zero because the exchange will liquidate you?" I'm guessing, shameless, and lazy. Could you help out? I mean, not with the shameless and lazy bits, that would be on me, but with the guessing part?

Yours,

Bowd

Subject	AI Comment
Entry	07/03/2026 09:20 AM
Member	BigBrainBear

"Also, it is worth nothing that AI will be a huge margin tailwinds for companies with wide moats and distribution - they will be able to lower their R&D costs and/or increase product innovation. CBOE fits that theme."

Are there currently any examples where this is currently happening, or has happened, in a significant way (>5% of operational expenses)?

Subject	Re: AI Comment
Entry	07/05/2026 01:09 PM
Member	NPComplete

Meta. Once zuck stops wasting money. The entire platform is self serve... Meta should be running at an operating margin of over 55%.

Subject	Re: Perpetual Futures
Entry	07/06/2026 11:27 PM
Member	bowd57

Hi, all --

Bump. I'll definitely live without knowing why these are of interest, and could maybe figure it out myself, but hope that the universe tends towards helping a brother outl

Yours,

Bowd

Subject	Re: Re: Perpetual Futures
Entry	07/07/2026 09:30 PM
Member	Fat_Tony

Hi Bowd,

Non-recourse leverage. That's it.

You can buy S&P500 perps on hyperliquid with 50x leverage.

And single name perps with 10-20x.

Well beyond reg T, or futures margin.

This is enabled by algorithmic liquidation. There's no recourse, and there's (in theory) no counterparty risk. Any negative contract equity upon liquidation is funded by liquidating winning trades on the other side.

I've simplified the liquidation mechanism by a bit, but the above is correct in substance.

Subject	Re: Perpetual Futures
Entry	07/07/2026 09:42 PM
Member	bowd57

Hi, Fat_Tony --

Thanks, much appreciated! A reason for the appreciation -- and the question to begin with -- is that it's not unknown for me to think I understand something, but I didn't, because I missed an angle. Smart & experienced friends are the best friends, even if they have mobster user names.

Yours,

Bowd

Subject	Re: Re: Perpetual Futures
Entry	07/07/2026 09:57 PM
Member	Fat_Tony

With pleasure Bowd!